

yond electric vehicles (EVs), which was among the first focus areas. It has moved to battery storage, precision agriculture, biofuels and so on. However, the carbon credit ecosystem remains immature, and the start-ups are at a very early stage.

Carbon credits are certificates generated by projects that reduce, avoid, or remove greenhouse gas emissions from the atmosphere. The climate impact of these projects is scientifically measured, and independent auditors verify the amount of carbon reduced or removed. Each carbon credit typically represents one tonne of carbon dioxide (CO₂), which companies can buy to offset their own emissions and meet climate goals.

India has set a series of climate goals as part of its commitments under the Paris Agreement and its net-zero strategy by 2070. The country's key targets are aimed at reducing emissions intensity, expanding clean energy, and increasing non-fossil fuel capacity. India's carbon-credit ecosystem currently remains largely voluntary and export-driven, though the country is gradually building a domestic compliance market. The government in 2023 introduced the Carbon Credit Trading Scheme (CCTS) to regulate greenhouse gas emissions and set sector-specific intensity targets.

"Carbon credits are an offset mechanism through which high-emission companies—particularly AI and data-centre giants [like hyperscalers, etc.]—buy credits to compensate for their own emissions and move toward net-zero targets," Madhavan explains, adding that while there is a growing momentum for deals, VC interest in the space is still nascent.

While the carbon credit ecosystem is still nascent, climate-tech start-up Varaha has emerged as one

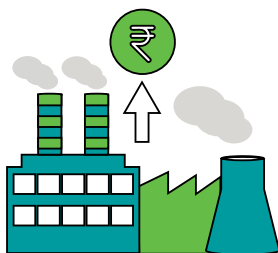
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Large deals involving Amazon and Microsoft signal growing international interest in sourcing carbon credits from India's agricultural ecosystem

Investors are wary of long project cycles, fragmented verification systems, pricing volatility and uncertain monetisation, making carbon credits a difficult sector for VC-scale investing

VCs are shifting towards start-ups building tangible climate infrastructure and commercially viable decarbonisation models rather than pure carbon trading platforms

While there's some activity in the Indian start-up space for carbon credits, the sector still needs stronger regulations, credible verification systems and broader ecosystem education to scale sustainably



of the few Indian players building on a global scale. In 2025, the company signed an offtake agreement with Microsoft for the sale of carbon credits generated through its biochar carbon removal project in India.

Founded in 2022, Varaha operates across four carbon-removal methods — regenerative agriculture, agroforestry, biochar, and enhanced rock weathering — unlike most start-ups in the sector that typically specialise in a single pathway, according to founder and CEO Madhur Jain. Backed by Omnivore, WestBridge Capital and RTP Global, Varaha is also among the few climate-tech start-ups in India to raise growth-stage funding, most recently securing an extended Series B round of \$20 million.

The company turned profitable in FY25. Speaking to *Business Today*, Jain notes that many start-ups experiment with methodologies in carbon credits but fail to issue verified credits.

Talking about why there are so few start-ups in the sector and why big investments are not flowing in, Jain says, "The cycle of carbon credit issuance can take anywhere between two to four years from the time a project activity begins. Most start-ups don't survive that long, which is what makes building in this sector particularly challenging."

According to Jain, climate tech is still in a discovery phase globally. While relatively mature categories such as solar and electric vehicles are already witnessing public listings and large-scale commercial adoption, newer segments like carbon markets, sustainability-focused deep tech, and science-led R&D start-ups are only beginning to attract serious capital. "There is